

POLICY ON GOOD GOVERNANCE

Rationale

To achieve its corporate goals, the University of Mindanao has adopted a Manual on Corporate Governance (Manual) that contains the policies, rules, regulations, best practices and processes that are intended to promote good corporate governance in the organization.

Scope

The Corporate Governance Manual covers the governance structure, guidelines on the duties and responsibilities of Board Committees, appointment of Compliance officer and Internal Auditor, disclosure and transparency policies and policies, programs, and procedures that encourage employees' participation.

Guiding Principles

- I. GOVERNANCE STRUCTURE** - The Board of Trustees (BOT) is primarily responsible for the governance of the University. The BOT is composed of 11 members who are elected by the stockholders during the annual meeting of stockholders. To ensure the exercise of independent judgment on corporate affairs and proper oversight of managerial performance, including prevention of conflicts of interest and balancing of competing demands of the University, the BOT has three independent trustees. The independent trustees do not have any material relationship with the University, its affiliates or subsidiaries, such as employment, business, family connections, or substantial financial interests, which could affect their impartiality.
- II. BOARD COMMITTEES** – To assist the BOT in the performance of its duties and responsibilities, the following committees have been created:
 - Audit and Risk Oversight Committee
 - Remuneration Committee
 - Nomination and Corporate Governance Committee
- A. Audit and Risk Committee** – The Committee is composed of at least three non-executive trustees, majority of whom are independent trustees, and chaired by an independent trustee. The Committee oversees senior management in establishing and maintaining an adequate, effective, and efficient internal control framework. It ensures that systems and processes provide assurance in reporting, monitoring compliance with laws, regulations and internal policies, effectiveness of operations, and safeguarding of assets. It evaluates all related party transactions to ensure they are not entered into on more favorable economic terms to the related parties than similar transactions with non-related parties under similar circumstances, and no corporate resources of the University are misappropriated. It also determines any potential reputational risk issues that may arise as a result of or in connection with related party transactions.

The Committee is also tasked to develop an Enterprise Risk Management System and oversee its implementation. It shall advise the BOT on its risk appetite level and risk tolerance limits, and periodically review them based on changes and developments in the business, the external economic and business environment, and major events which may have occurred in the University.

- B. **Remuneration Committee** – The Committee is composed of three members, one of whom is an independent trustee. The Committee is responsible for developing a transparent policy on remuneration of trustees, corporate officers, senior management, and other key personnel that are commensurate with their responsibilities and performance in order to attract and retain the services of qualified and competent trustees and executives.
 - C. **Nomination and Corporate Governance Committee** – The Committee is composed of three members, majority of whom are independent trustees, and chaired by an independent trustee. The Committee has adopted a procedure for the nomination and election of the BOT. It is also responsible for ensuring compliance with and proper observance of the Manual on Corporate Governance, relevant law, rules and regulations, as well as principles and practices on good governance.
- III. **COMPLIANCE OFFICER** – To ensure adherence to the principles of good corporate governance, the BOT has appointed a Compliance Officer to monitor, evaluate, and ensure compliance by the University, its officers and executives with the Manual, relevant laws, rules, regulations and all governance issuances of regulatory agencies.
- IV. **INTERNAL AUDITOR** – The BOT has appointed an Internal Auditor to perform internal audit functions. The Internal Auditor has adopted an internal control system to ensure that the University's key organizational and operational controls are effective, appropriate and adhered to. The Internal Auditor regularly reviews, audits and assesses the efficiency and effectiveness of the internal control system. The Internal Auditor also evaluates the operations to ascertain whether results are consistent with goals and objectives, or are being carried out as planned. The Internal Auditor reports directly to the Audit and Risk Oversight Committee.
- V. **BOARD ETHICS** – The BOT is in the process of formulating a Code of Business Conduct and Ethics that will provide the standards for professional and ethical behavior of its members.
- VI. **DISCLOSURE AND TRANSPARENCY** – The University's audited financial statements, prepared by the External Auditor elected by the stockholders during the annual meeting, are submitted to the Securities and Exchange Commission (SEC) and posted in the University's website after the end of every fiscal year. The audited financial statements contain the University's financial condition and results of operations, including material information that could adversely affect the University's viability or the interest of its stockholders and other stakeholders.

All relevant information on governance policies and practices are disclosed in the Annual Corporate Governance Report which is submitted to the SEC every June 30 of each year and posted in the University's website.

Stockholders have the right to inspect or examine corporate books and records, including the minutes of meetings of stockholders and the BOT, and the record of all business transactions of the University.

Compliance

To ensure compliance, the Chair of the Board of Trustees convenes regular meetings with both the Board members and the Executive Committee. During these meetings, reports on governance practices are reviewed and discussed to promote accountability and alignment with the policy.

Implementation and Review

In the implementation, an OPM 4.05 explicitly outlines the rules and procedures of the policy. The Quality Management Representative (QMR) ensures continuous improvement through Internal Quality Audit.

Signed:

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University President